

HORIZON CAR INSIGHTS AND RECOMMENDATION

INSIGHTS:

SALES PERFORMANCE AND TRENDS:

1. In 2023, Sales reached **\$353.68 million**, reflecting a strong **13.98% growth** from the previous year's sales of \$310.31 million.
2. Sales were **consistently increased each quarter**, with the highest peak occurring in **the 4th quarter** of both years. However, the 1st quarter consistently showed less sales compared to other quarters.
3. Sales peaked in **November(\$97M) and December(\$99M)**, but dropped significantly in January and February (\$21M and \$22M each).

SALES PERFORMANCE OF VARIOUS CAR COMPANIES AND MODELS:

1. The leading companies by sales are **Chevrolet (\$47.02 M)**, Ford(\$46.92M) and followed by Dodge.
In 2023, **Chevrolet emerged as the best performing company with \$25.04M** in sales, a notable increase from \$21.62M sales in 2022, where it was the second-best performer.
2. The 5 **least performing companies** are **Jaguar(\$4.5M)**, Hyundai (\$5.07M), Infiniti (\$5.66M). Despite being among the least performers, **Infiniti showed a notable increase** of \$2.04M in sales from 2022 to \$3.61M 2023.

MODELS:

1. Sebring Convertible (\$0.16M), Mirage (\$0.17M), Avalon (\$0.27M), RX300 (\$0.27M) have the **least sales**.
2. The **Top 3 best-selling car models** are LS400(\$14.11M), Silhouette (\$12.07M), Jetta (\$11.91M). However, in 2023, there was a drop in the sales of Jetta compared to previous year, when it was the second-best performing model.

SALES VOLUME:

1. **12.64K cars were sold in 2023**, reflecting a year-over-year growth of 14.91%.

AVERAGE TRANSACTION VALUE:

1. In 2023, the Average Transaction Value (ATV) was **\$27.97K**, with a year-over-year (YoY) decrease of **- 0.81%**

DEALERS PERFORMANCE:

CY SALES:

1. **Rabun Used Car Sales** stands out as **the top performer in 2023** with sales reached \$19.92M. Other strong performers include **Progressive Shippers Cooperative Association** with the sales of \$19.60M and Saab-Belle Dodge with \$19.07M sales.
2. **Buddy Storbeck's Diesel Service Inc** is **the lowest performing dealer**, with \$8.53M in sales.
Other least performing dealers include Motor Vehicle Branch Office, Diehl Motor CO Inc are \$8.83M and \$8.92M respectively and YOY growth of with 5.28% and 6.16%.
3. Despite having the lowest profit of \$7.7M in 2022, **Chrysler Plymouth showed an impressive sale of \$9.29M in 2023 with a YOY Growth of 19.61%**. Similarly, Clay Johnson Auto which had the second-lowest profit in 2022, saw its sales increase to \$9.42M in 2023, with a YOY growth of 20.07%.

YOY:

1. The dealers with least **YOY growth** are **Buddy Storbeck's Diesel Service Inc at 1.6%** and Motor Vehicle Branch Office at 5.28%.
2. Despite having strong sales of \$17.88M, Star Enterprises Inc experienced a YOY of 6.06%.

SALES VOLUME:

1. **Classic Chevy has the lowest sales volume of 319** compared to other dealers and has a YOY growth of 6.33%.

Overall, Buddy Storbeck's Diesel Service Inc, Motor Vehicle Branch Office, and Diehl Motor Co Inc are the least performing dealers in terms of sales, YOY growth, and sales volume.

RECOMMENDATION:

1. SALES STRATEGY:

- **Target Low Sales Period:** Introduce targeted promotions during the first quarter of the year. Consider offering discount, financing deals like no interest EMI and bundle package services like free service for one year, car insurance and accessories (like custom floor seats, infant car seats) at a lower price.
- **Maximize Sales:** Use marketing efforts like holiday themed promotion, year-end clearance events and limited time offers to maximize sales in the month of November and December.

- **Customer Feedback:** Regularly collect and act on customer feedback to ensure products and services align with customer needs and preferences.
- **Strategic Pricing:** Use strategic pricing to maximize profitability while remaining competitive.
- **Adjust Pricing Strategies:** The Average Transaction Value (ATV) slightly decreased in 2023. Evaluate the pricing strategy for various models and consider dynamic pricing based on demand, seasonality, and competition. For high-demand periods like Q4, increase prices slightly to maximize profits without deterring customers
- **Focus on Best-Selling Models:** Ensure high performing models are well-stocked to meet customer demand.
- **Phase Out Low-Performing Models:** Consider phasing out models like Sebring Convertible, Mirage, and Avalon, which have the lowest sales. Replace them with newer or more in-demand models that align with current market trends.
- **Collaborate with Influencers:** Partner with automotive influencers or bloggers to showcase top models and dealers, especially those who are performing well. This can drive more traffic and sales

2. DEALERS PERFORMANCE:

- **Reevaluate Low-Performing Dealers:** Dealers who have low sales and YOY growth, Consider renegotiating terms. If they fail to meet set benchmarks, consider reallocating resources to more productive dealers or ending partnerships.
- **Incentivize High Performers:** Introduce a performance-based incentive program for top-performing dealers. Offer bonuses or rewards for hitting high sales or improving sales volume.